

**SUPERIOR COURT OF CALIFORNIA
COUNTY OF MARIN**

DATE: 07/08/26 TIME: 1:30 P.M. DEPT: H CASE NO: CV0001619

PRESIDING: HON. SHEILA S. LICHTBLAU

REPORTER:

CLERK: A. ANDRES

PLAINTIFF: DUSTIN PIPER ET AL.

vs.

DEFENDANT: KEVIN SILVA ET AL.

NATURE OF PROCEEDINGS: MOTION – COMPEL ARBITRATION

RULING

Defendants Kevin and Patricia Silva’s (“the Silvas”) petition to compel arbitration is DENIED.
(Code Civ. Proc., § 1281.2,¹ subd. (c).)

BACKGROUND

This is a real estate fraud matter. Plaintiffs Dustin Piper and Katerina Schreck (“Plaintiffs”) allege that they own 29 Sais Avenue in San Anselmo, which they purchased from the Silvas. (Second Amended Complaint (“SAC”),² ¶¶ 1-2.) According to the SAC, the property had issues with drainage and water intrusion prior to Plaintiffs’ purchase. (*Id.* at ¶ 15.) As part of the transaction, the Silvas allegedly completed a Transfer Disclosure Statement (“TDS”) in which they stated that they were not aware of “flooding, drainage or grading problems” or “major damage to the property and/or any of the structures from fire, earthquake, floods, or landslides.” (*Id.* at ¶ 17.) The Silvas also allegedly told Plaintiffs that before the Silvas bought the property, they had hired a qualified and licensed expert to inspect the drainage system at the property. (*Id.* at ¶ 18.) The Silvas represented that this professional orally recommended certain changes to the drainage system, and that they followed those recommendations. (*Id.* at ¶ 19.)

Plaintiffs allege that on two occasions in 2021, they experienced significant flooding at the property. (SAC, ¶¶ 20-21). In December 2021, Plaintiffs found a report at the property (the “Report”) they allege was never disclosed to them before their purchase. (*Id.* at ¶ 23.) The Report stated that the company that had done the Silvas’ drainage inspection informed the Silvas that “seepage” would “likely enter the lower living areas during periods of heavy rain.” (*Ibid.*) The Report recommended certain repairs to the property and stated that further investigation would be required to determine the scope of repairs needed to the drainage system. (*Id.* at ¶¶ 24-25.)

¹ All undesignated statutory references are to the Code of Civil Procedure.

² The Silvas’ requests for judicial notice are granted. (Evid. Code, § 452, subd. (d).)

Plaintiffs claim that they experienced more flooding in 2022 and 2023. (SAC, ¶ 27.) In February 2022, they hired a licensed civil engineer to review the drainage conditions at the property. (*Id.* at ¶ 28.) That professional found that the Silvas had not followed the recommendations in the Report, but had “resorted to cheaper, half-measure repairs[,]” and that the drainage system at the property could not handle rain. (*Id.* at ¶ 29.) Plaintiffs allege that it was apparent from these facts that the Silvas did not properly investigate as recommended and did not disclose this omission to Plaintiffs. (*Ibid.*) Plaintiffs’ professionals determined that the drainage system at the property needed a complete overhaul in order to be operational. (*Id.* at ¶ 30.) Plaintiffs allege that the Silvas knew or should have known all of this before Plaintiffs’ purchase. (*Id.* at ¶ 31.)

Plaintiffs also name as defendants Compass II California, Inc. (“Compass”), Christine McArthur, Victoria Love, and Allison Salzer (together, the “Broker Defendants”). McArthur, Love, and Salzer all work for Compass. (SAC, ¶¶ 5-8.) McArthur and Love represented the Silvas in the sale of the property, and Salzer represented Plaintiffs. (*Ibid.*) Plaintiffs allege that McArthur, Love, and Salzer knew or should have known of the issues with the property, failed to conduct a reasonable inspection, and failed to disclose the problems to Plaintiffs. (*Id.* at ¶ 33.)

Plaintiffs assert the following causes of action against both the Silvas and the Broker Defendants: negligent failure to disclose; negligence; statutory failure to make written disclosures when transferring real property; common law failure to make written disclosure when transferring real property; fraudulent concealment/failure to disclose; intentional misrepresentation; and negligent misrepresentation. As to the Silvas only, Plaintiffs also plead breach of contract. As to the Broker Defendants only, Plaintiffs plead negligent hiring/retention; constructive fraud; breach of fiduciary duty; and “statutory violations/negligence per se.”

Before the Court is the Silvas’ petition to compel arbitration.

LEGAL STANDARD

A party to an arbitration agreement may seek a court order compelling the parties to arbitrate a dispute covered by the agreement. (§ 1281.) A written agreement to submit future controversies to arbitration “is valid, enforceable and irrevocable, save upon such grounds as exist for the revocation of any contract.” (*Ibid.*) “On petition of a party to an arbitration agreement alleging the existence of a written agreement to arbitrate a controversy and that a party to the agreement refuses to arbitrate that controversy, the court shall order the petitioner and the respondent to arbitrate the controversy if it determines that an agreement to arbitrate the controversy exists, unless it determines” that one of certain exceptions applies. (§ 1281.2.)

On a motion to compel arbitration, the moving party must prove by a preponderance of evidence the existence of the arbitration agreement and that the dispute is covered by the agreement. The burden then shifts to the resisting party to prove by a preponderance of the evidence a ground for denial (e.g., fraud, unconscionability, etc.). (*Rosenthal v. Great Western Fin. Securities Corp.* (1996) 14 Cal.4th 394, 413; *Hotels Nevada v. L.A. Pacific Center, Inc.* (2006) 144 Cal.App.4th 754, 758.)

DISCUSSION

The Silvas trace Plaintiffs' agreement to arbitrate this dispute to a form contract the parties executed on July 12, 2020, entitled "California Residential Purchase Agreement and Joint Escrow Instructions." (Petition, Ex. A ("Agreement").) The parties to the Agreement are Plaintiffs and the Silvas. (*Id.* at Ex. A, ¶¶ 1(E), 31-32.) The brokers involved in the transaction were not parties to the Agreement. (*Ibid.*) The Agreement provides that its parties agree "to mediate any dispute or claim arising between them out of this Agreement, or any resulting transaction, before resorting to arbitration or court action[.]" (*Id.* at Ex. A., ¶ 22(A).) The parties further agree "that any dispute or claim in Law or equity arising between them out of this Agreement or any resulting transaction, which is not settled through mediation, shall be decided by neutral, binding arbitration." (*Id.* at Ex. A., ¶ 22(B).) Plaintiffs each signed the Agreement as a whole and also each initialed it at Paragraph 22. (*Id.* at Ex. A, ¶¶ 22, 31.)

Plaintiffs do not dispute that an arbitration agreement exists and embraces all of their claims against the Silvas. Their primary argument³ in opposition to the petition is based on Code of Civil Procedure, section 1281.2.

Code of Civil Procedure, section 1281.2, subdivision (c) gives a court discretion to refuse to require arbitration of a controversy, even where it determines that the parties have in fact agreed to arbitrate it, under certain circumstances. The court's discretion is triggered where "(1) '[a] party to the arbitration agreement is also a party to a pending court action or special proceeding with a third party'; (2) the third-party action 'aris[es] out of the same transaction or series of related transactions'; and (3) 'there is a possibility of conflicting rulings on a common issue of law or fact.' " (*Acquire II, Ltd. v. Colton Real Estate Group* (2013) 213 Cal.App.4th 959, 967-968 [quoting § 1281.2, subd. (c)] [alterations in original].) If the Court decides to exercise its discretion, it has "four options[:]" "(1) 'refuse to enforce the arbitration agreement and . . . order intervention or joinder of all parties in a single action or special proceeding'; (2) 'order intervention or joinder as to all or only certain issues'; (3) 'order arbitration among the parties who have agreed to arbitration and stay the pending court action or special proceeding pending the outcome of the arbitration proceeding'; and (4) 'stay arbitration pending the outcome of the court action or special proceeding.' " (*Id.* at p. 968 [quoting § 1281.2].)

Here, both Plaintiffs and the Silvas are parties to a pending court action (this one) also involving nonparties to the Agreement – the Broker Defendants. Plaintiffs' claims against the Broker Defendants plainly arise out of the same transaction or series of related transactions as their claims against the Silvas: the transaction whereby the Silvas sold 29 Sais Avenue to Plaintiffs. The dispositive question before the Court is whether there is "a possibility" that if Plaintiffs were required to arbitrate their claims against the Silvas while their claims against the

³ Beyond their argument based on Code of Civil Procedure, section 1281.2, Plaintiffs argue that the petition should be denied because the Silvas have not presented competent evidence that Plaintiffs are refusing to arbitrate their claims against the Silvas. At the Silvas' request, the Court has judicially noticed all three versions of the complaint in this litigation, all of which name the Silvas as defendants. This is evidence that instead of commencing arbitration proceedings against the Silvas as required by the Agreement, Plaintiffs filed a lawsuit against them in court. Such evidence affirmatively establishes Plaintiffs' refusal to arbitrate their claims against the Silvas. (See *Hyundai Amco America, Inc. v. S3H, Inc.* (2014) 232 Cal.App.4th 572, 577.) Plaintiffs' counsel has also submitted a declaration in which he states that when the Silvas requested that Plaintiffs submit to arbitration, he refused on his clients' behalf. (Sullivan Dec., ¶¶ 11-13.)

Broker Defendants proceeded in court, the arbitrator and the judge or jury could issue conflicting rulings on the same issues of law or fact. (§ 1281.2, subd. (c).)

There is such a possibility in this case. For example, the First Cause of Action (negligent failure to disclose) alleges that both the Silvas and the Broker Defendants failed to disclose to Plaintiffs that the professional who issued the Report had made certain statements about the condition of the drainage system and certain repair recommendations, and also that the Silvas had not followed those recommendations. (SAC, ¶ 48.) Whether the Silvas in fact made the recommended changes to the drainage system will be at issue as to both sets of defendants. If this claim is heard in different forums as to each set of defendants, one forum could conclude that the Silvas made the recommended changes, and the other forum could conclude that they did not. The two forums could also reach different conclusions about the degree of diminution in the value of the property associated with the same condition: the fact that the property allegedly had major undisclosed drainage defects. (*Id.* at ¶ 50.)

The Second Cause of Action, negligence, alleges that both the Silvas and the Broker Defendant breached duties to Plaintiffs. Some of the alleged breaches are the same. For example, Plaintiffs allege that both the Silvas and the Broker Defendants breached their respective duties to Plaintiffs by failing to disclose both the content of the Report and the fact that the Silvas did not follow its recommendations, and also by failing “to prepare an accurate and thorough” TDS. (SAC, ¶¶ 54-55.) Different forums could reach different conclusions about whether the Silvas followed the recommendations in the Report and whether the TDS was accurate. The Silvas either followed the recommendations or not, and the TDS was either accurate or not, so different conclusions on these issues would necessarily be in conflict regardless of which defendant is at issue. Different forums could also reach different conclusions about the degree of damage associated with these alleged breaches. (*Id.* at ¶ 57.) Whether the defendants whose breach is at issue are the Silvas or the Broker Defendants, a breach consisting of the same conduct logically should result in the same damages. A conclusion that the Silvas’ failure to provide an accurate TDS caused X in damages would conflict with a conclusion that the Broker Defendants’ failure to do the same thing caused Y in damages. Similar considerations apply to the Fifth Cause of Action, which alleges that all defendants failed to provide Plaintiffs with an accurate TDS. (*Id.* at ¶ 73.)

The Eighth Cause of Action, intentional misrepresentation, alleges that both the Silvas and the Broker Defendants falsely represented that the property’s drainage system was in good condition. (SAC, ¶ 89.) If Plaintiffs’ claims against the Silvas and the Broker Defendants were heard in different forums, one forum might agree with Plaintiffs that the drainage system was in bad condition while the other forum concluded that the same drainage system was fully functional.

The Court does not purport to describe all of the potentially conflicting rulings that could issue if Plaintiffs’ claims against the Silvas are heard in a different forum than the one that hears their claims against the Broker Defendants. There is more potential for conflict than the Court has described above.

“[T]here is a possibility of conflicting rulings on a common issue of law or fact” if Plaintiffs’ claims against the Silvas are sent to arbitration and their claims against the Broker Defendants proceed in court. (§ 1281.2, subd. (c).) The Court has discretion not to order Plaintiffs and the

Silvas to arbitrate their dispute notwithstanding their arbitration agreement (*ibid.*), and will do so, as this appears to be the kind of case for which Section 1281.2(c) was designed. (See *Mount Diablo Medical Center v. Health Net of California, Inc.* (2022) 101 Cal.App.4th 711, 726 [“Section 1281.2(c) addresses the peculiar situation that arises when a controversy also affects claims by or against other parties not bound by the arbitration agreement. The California provision giv[es] the court discretion not to enforce the arbitration agreement under such circumstances [] in order to avoid potential inconsistency in outcome as well as duplication of effort[.]”].)

The Silvas argue that instead of declining to enforce the arbitration agreement, the Court should order Plaintiffs to arbitrate their claims against the Silvas and stay Plaintiffs’ litigation against the Broker Defendants pending the outcome of the arbitration proceeding. (See § 1281.2.) Based on the complaint, Plaintiffs’ claims against both the Silvas and the Broker Defendants are going to rely largely upon the same evidence. Under those circumstances, it would not be efficient for the claims against these two sets of defendants to proceed in different forums.

The Court exercises its discretion to “refuse to enforce the arbitration agreement[.]” (§ 1281.2.) It need not “order intervention or joinder of all parties in a single action or proceeding” (*ibid.*) because both the Silvas and the Broker Defendants are already joined in this action.

All parties must comply with Marin County Superior Court Local Rules, Rule 2.10(B) to contest the tentative decision. Parties who request oral argument are required to appear in person or remotely by ZOOM. Regardless of whether a party requests oral argument in accordance with Rule 2.10(B), the prevailing party shall prepare an order consistent with the announced ruling as required by Marin County Superior Court Local Rules, Rule 2.11.

The Zoom appearance information for July, 2026 is as follows:

<https://marin-courts-ca-gov.zoomgov.com/j/1615487764?pwd=Ob4B5J7LLKcpnkxzJjEOSHnzEGafG.1>

Meeting ID: 161 548 7764

Passcode: 502070

If you are unable to join by video, you may join by telephone by calling (669) 254-5252 and using the above-provided passcode. Zoom appearance information may also be found on the Court’s website: <https://www.marin.courts.ca.gov>

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PRESIDING: HON. SHEILA S. LICHTBLAU

REPORTER:

CLERK: A. ANDRES

PLAINTIFF: JYOTI ELIAS

and

DEFENDANT: BETTER ROOTER, INC.,
ET AL.

NATURE OF PROCEEDINGS: GOOD FAITH SETTLEMENT

RULING

Defendants 4Bach, LP and HB Bona LLC (“Settling Defendants”) filed a motion for good faith settlement and for an order barring any further complaints or cross-complaint against them for implied indemnity, equitable indemnity or contribution . A notice of the motion was served on all parties and no opposition was filed. A failure to oppose a motion may be deemed a consent to the granting of the motion. (Cal. Rules of Court, rule 8.54, subd. (c).) Failure to oppose a motion may also lead to the presumption that [plaintiff] has no meritorious arguments. (See *Laguna Auto Body v. Farmers Ins. Exchange* (1991) 231 Cal. App. 3d 481, 489, disapproved of by *Garcia v. McCutchen* (1997) 16 Cal.4th 469, on other grounds.)

Settling Defendants’ motion is, therefore, granted.

All parties must comply with Marin County Superior Court Local Rules, Rule 2.10(B) to contest the tentative decision. Parties who request oral argument are required to appear in person or remotely by ZOOM. Regardless of whether a party requests oral argument in accordance with Rule 2.10(B), the prevailing party shall prepare an order consistent with the announced ruling as required by Marin County Superior Court Local Rules, Rule 2.11.

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